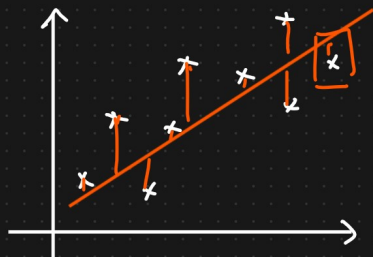


Linear Regression Algorithm.

$$h_{\theta}(x) = \theta_0 + \theta_1 x$$

$$h_{\theta}(x) = \theta_0 + \theta_1 x_1 + \theta_2 x_2 + \theta_3 x_3 + \dots + \theta_n x_n$$

Convergence Algorithm



$m = \text{no. of data points}$

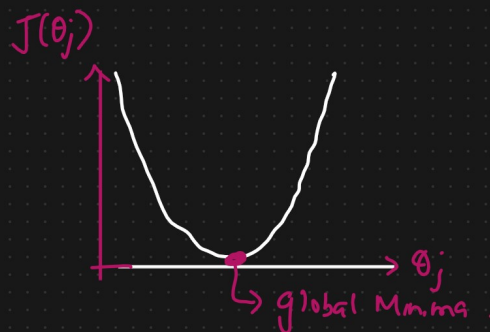
Cost function $J(\theta_0, \theta_1) = \frac{1}{m} \sum_{i=1}^m \left(h_{\theta}(x^{(i)}) - y^{(i)} \right)^2$

$\downarrow$ predicted $\downarrow$ Truth point

loss function = $\left(h_{\theta}(x^{(i)}) - y^{(i)} \right)^2$

$j = 1 \text{ to } m$
Repeat until convergence

$\theta_j := \theta_j - \alpha \frac{\partial J(\theta_j)}{\partial \theta_j}$



$$\frac{\partial}{\partial x} (x)^2 = 2x$$

$$\frac{\partial}{\partial x} (x)^n = n x^{n-1} (1)$$

$$\frac{\partial}{\partial x} (x+1)^2 = 2x(x+1) \times (1+0) = 2(x+1)$$

$\theta_0 \theta_1$

$$\frac{\partial}{\partial \theta_0} J(\theta_0, \theta_1) = \frac{\partial}{\partial \theta_0} \left[\frac{1}{m} \sum_{i=1}^m \left(h_{\theta}(x^{(i)}) - y^{(i)} \right)^2 \right]$$

$$h_{\theta}(x) = \theta_0 + \theta_1 x$$

$$\begin{aligned}
 & \stackrel{j=0}{=} \frac{\partial}{\partial \theta_0} \left[\frac{1}{m} \sum_{i=1}^m \left((\theta_0 + \theta_1 x)^{(i)} - y^{(i)} \right)^2 \right] \Rightarrow \frac{\partial}{\partial \theta_0} \sum_{i=1}^m \left(h_{\theta}(x) - y^{(i)} \right) \\
 & \quad \quad \quad \downarrow \\
 & = \frac{2}{m} \sum_{i=1}^m \left[(\theta_0 + \theta_1 x) - y^{(i)} \right] \times 1
 \end{aligned}$$

$\frac{\partial}{\partial \theta_0} (\theta_0 + \theta_1 x)$

(1+0)

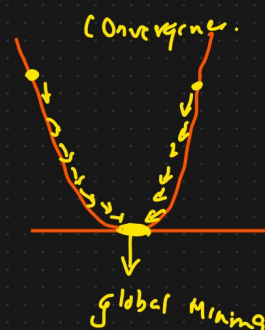
$$J^{j+1} = \frac{\partial}{\partial \theta_1} \left[\frac{1}{m} \sum_{i=1}^m \left((\theta_0 + \theta_1 x^{(i)}) - y^{(i)} \right)^2 \right]$$

$$= \frac{2}{m} \sum_{i=1}^m \left((\theta_0 + \theta_1 x^{(i)}) - y^{(i)} \right) \cdot \left[x \right]$$

Repeat until Convergence

$$\left\{ \begin{array}{l} \theta_0 := \theta_0 - \alpha \frac{1}{m} \sum_{i=1}^m \left(h_{\theta}(x^{(i)}) - y^{(i)} \right) \\ \theta_1 := \theta_1 - \alpha \frac{1}{m} \sum_{i=1}^m \left(h_{\theta}(x^{(i)}) - y^{(i)} \right) x^{(i)} \end{array} \right\}$$

α = speed of



Cost functions

① MSE

② MAE

③ RMSE

Linear Algebra

$$(a-b)^2 =$$

$$a^2 - 2ab + b^2$$

$$y = mx + c$$

① MSE {Mean Squared Error}

$$MSE = \frac{1}{n} \sum_{i=1}^n (y - \hat{y})^2$$

$\hookrightarrow$ quadratic

θ_0 & θ_1

Equation

$$\hat{y} = \theta_0 + \theta_1 x$$

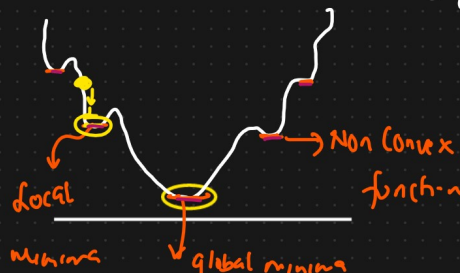
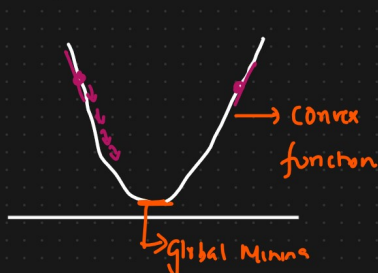
$\hookrightarrow$ predicted value

$$ax^2 + by + c = 0$$

$$\Rightarrow \frac{1}{n} \sum_{i=1}^n \left[(y - (\theta_0 + \theta_1 x)) \right]^2$$

Advantages

- ① This equation is differentiable
- ② This equation also has one global minima.



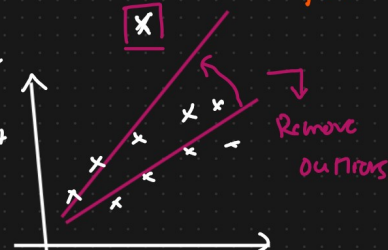
Disadvantage

- ① This is not robust to outliers
- ② Penalizing the error

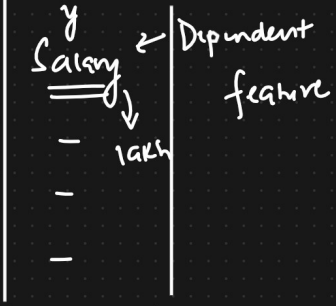
Changing the unit

Cost function

↑↑↑



Exp

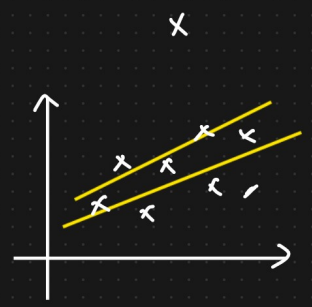


$$\left. \begin{matrix} (y - \hat{y})^2 \\ (\text{lakh})^2 \end{matrix} \right\} \text{MSE} = \sum_{i=1}^n \frac{(y - \hat{y})^2}{n} \Rightarrow \text{Cost function } \downarrow \downarrow \downarrow$$

$$|5-8| = |1-3| = 3$$

② Mean Absolute Error (MAE)

$$\text{MAE} = \frac{1}{n} \sum_{i=1}^n |y - \hat{y}|$$

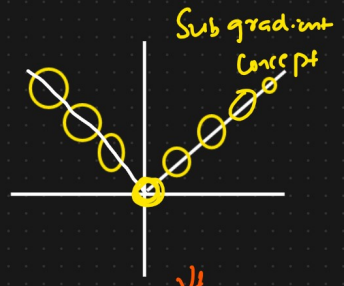
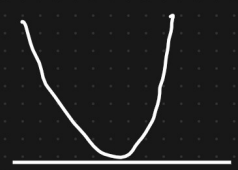


Advantage

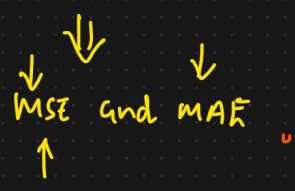
- ① Robust to outliers
- ② It will also be in the same unit.

Disadvantage

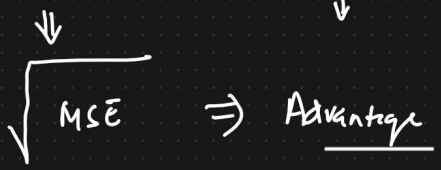
- ① Converging usually takes more time. Optimization is a complex task
- ② Time Consuming



① Huber Loss



② RMSE



Disadvantages

Performance Metrics

Loss function : MAE, MSE, RMSE, Huber Loss

① R squared

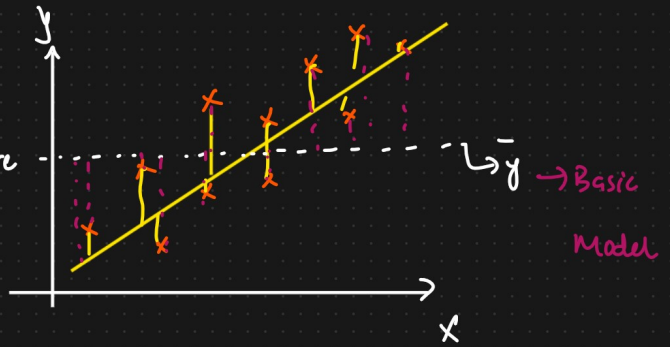
② Adjusted R Squared

① R squared

SS_{Res} = Sum of Square Residuals.

SS_{Total} = Sum of Square Average.

$$R_{Squared} = 1 - \frac{SS_{Res}}{SS_{Total}}$$



R^2 squared bc -ve



Model is very bad

$$= 1 - \frac{\sum_{i=1}^n (y_i - \hat{y}_i)^2}{\sum_{i=1}^n (y_i - \bar{y})^2} \rightarrow \text{low value}$$

$\bar{y}$ = Average of y

$$\sum_{i=1}^n (y_i - \bar{y})^2 \rightarrow \text{high value}$$

$$R_{Squared} = 1 - \left\{ \frac{\text{Small number} \downarrow \text{Big}}{\text{Bigger number} \downarrow \text{Small}} \right\} \rightarrow \text{Small number}$$

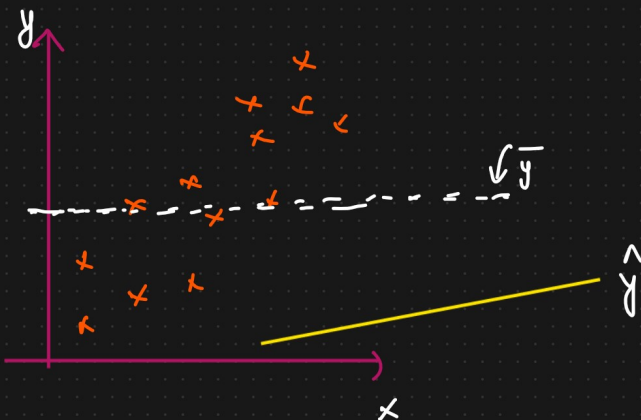
$$\boxed{\leq 1}$$

$$= 0.85$$

↳ 85% Accurate

$$= 0.75 \rightarrow 75\% \text{ Accurate.}$$

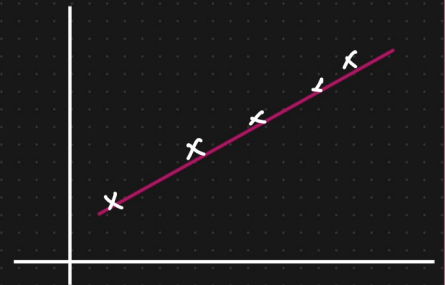
Performance of the Model that you have created.



$$R^2 = \underline{\underline{-ve}}$$

$$\boxed{R^2 = 1}$$

R^2 squared {-ve}



✓ Adjusted R squared ✓

{overfitting And underfitting}

Size of House

City location

No. of bedrooms

Gender

Price



$$R^2$$

$$65\% \checkmark$$

$$Adj R^2 = 63\% \quad P=1$$

$$R^2$$

$$75\% \checkmark$$

$$Adj R^2 = 73\% \quad P=2$$

$$R^2$$

$$88\% \checkmark$$

$$R^2$$

$$90\% \checkmark$$

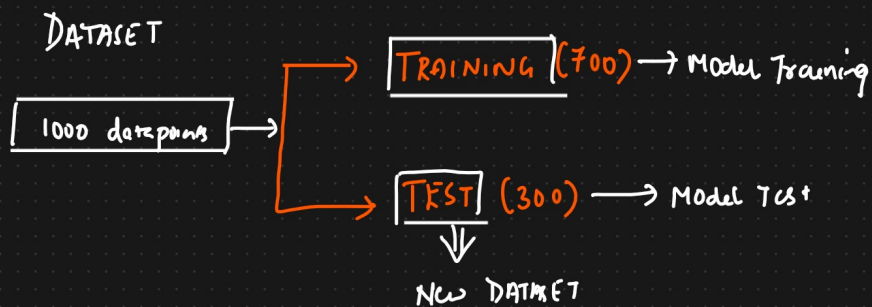
$$\Rightarrow \text{No.} \quad Adj R^2 \quad 85\%$$

$$\text{Adjusted } R^2 = 1 - \frac{(1 - R^2)(N - 1)}{N - P - 1}$$

N = No. of data points

P = No. of Independent feature.

Overfitting And Underfitting (Bias And Variance).

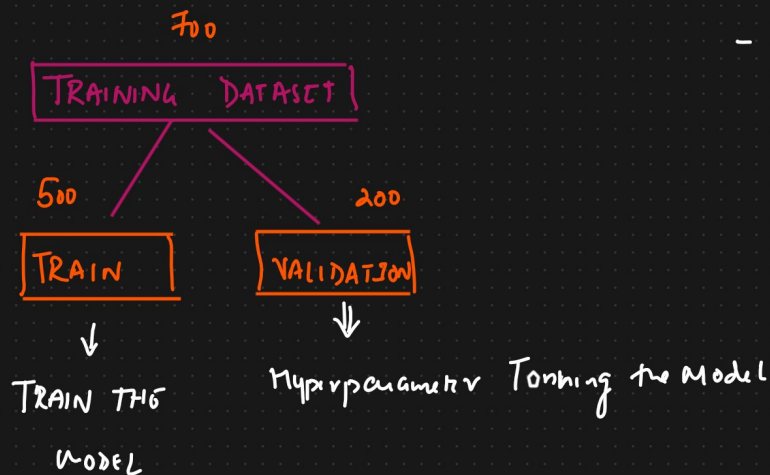


DATASET

Exp

Year

—	—
—	—
—	—
—	—
—	—
—	—
—	—
—	—



Model

TRAIN DATA

Very Good Accuracy (90%) [low Bias]

TEST DATA

Very Good Accuracy (85%) [low Variance]

↳ Generalized Model

Exp

↓
Age

—	—
—	—
—	—
—	—

TRAIN

Very Good Accuracy [90%] [Low Bias]

TEST

Bad Accuracy (50%) [High Variance]

=> Hyperparameter Tuning

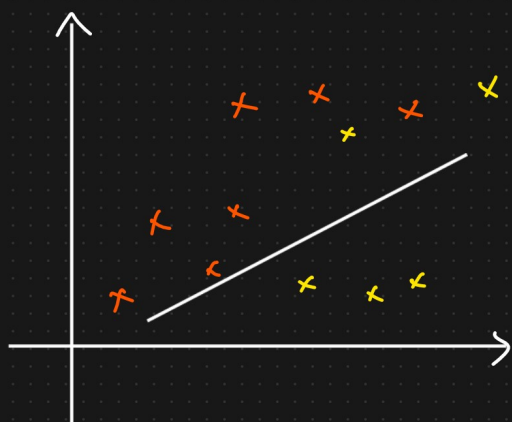
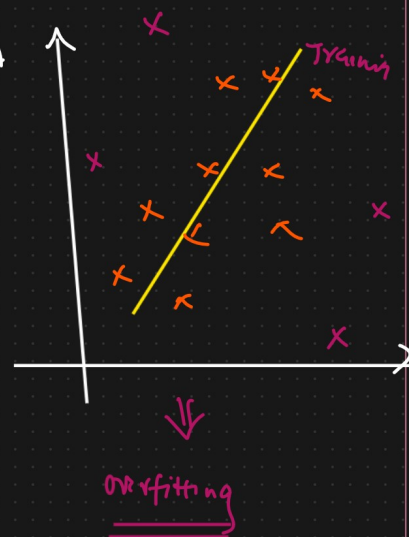
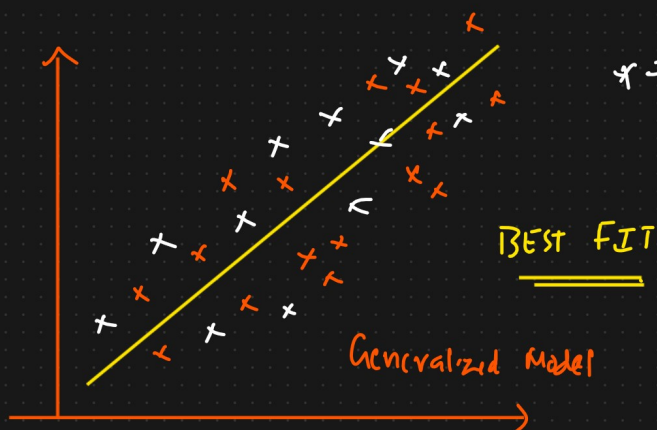
↓
Overfitting

Model Accuracy is low [High Bias]

Model Accuracy is low/high [low or high Variance]

↓

Model is underfitting



=> underfitting

[WEEKDAYS]

↓

Ridge, Lasso Regression

SATURDAY → Linear Regression

Elastic Regression